

KEY CHALLENGES AND ASKS



RISING INFLATION HAS CUT SPENDING POWER AND DEMAND



MANUFACTURING SECTOR'S CONTRIBUTION TO GDP IS LOW AT ABOUT 17%



UNEMPLOYMENT, ESPECIALLY OF THE YOUTH, HAS BEEN A PROBLEMATIC ISSUE



THE BUDGET MAY UNVEIL POPULIST MEASURES TO BOOST CONSUMPTION GROWTH



MORE REFORMS ARE NEEDED TO SUSTAIN NASCENT REVIVAL IN PRIVATE INVESTMENTS



FOCUS ON SKILLING, EDUCATION AND INVESTMENTS TO OPEN JOB OPPORTUNITIES

According to him, incentives in sectors such as electronics, new technology, renewable energy and defence may be modified further to attract more investments. "Private sector investments can also create jobs. Unemployment was a major issue in the elections and the government will now work on this. It could also announce more incentives for sectors such as construction that are doing well and generate more jobs," he says.

For now, the economy is in good shape with the Reserve Bank of India projecting real GDP growth at 7.2% in FY25, which would make this the fourth consecutive year of over 7% growth. The fiscal deficit has also been under control, improving to 5.6% of the GDP in FY24, against the Revised Estimate of 5.8%. Tax collections have remained robust and have exceeded the Revised Estimate for FY24 and high frequency indicators point towards continued buoyancy in the Centre's tax collections.

UBS Securities has, in fact, highlighted that the Indian economy is in a Goldilocks phase with strong growth and manageable macro stability risks. "We believe India is on track to achieve 6.5-7% year-on-year growth in the medium-term," says Tanvee Gupta Jain, Chief India Economist at UBS.

All this gives the new government the comfort and the opportunity to set out fresh priorities, take some new risks and tackle existing challenges. Expectations are that the Union Budget 2024-25, which is set to be presented in July, will take up many of these issues and set out on a possible course correction while continuing with the overall policy stance.

On the anvil is a possible tweak in the PLI scheme that could boost private investment in manufacturing and create jobs, a focus on welfare and populist schemes, continued prioritising of fiscal consolidation and capital expenditure, and higher allocations for schemes such as the Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGS) that could put more money in the hands of rural households.

But first, the new government will have to deal with existing challenges. For instance, spurring growth in India's manufacturing sector, which could lead to more jobs being created and revive private investment. At present, the sector contributes around 17% to the GDP, though the government has been keen on increasing the number to 25%. Past measures such as the Make in India scheme, Atmanirbhar Bharat, PLI, and a cut

EXPERTS BELIEVE THAT THE FAST PACE OF REFORMS, A HALLMARK OF THE FIRST TWO TERMS, MAY SLOW DOWN AS THE NDA GOVERNMENT WILL HAVE TO DISCUSS MANY ISSUES WITH ITS ALLIES